

Investment Thesis: Dominant Indian railway traction transformer supplier poised to capitalise on Rs. 2.93 lakh Cr rail capex supercycle; backward integration unlocking margins; propulsion system optionality is an unpriced free call.

RATING	Market Data			
BUY	Market Cap	Rs. 3,838 Cr	52W High	Rs. 1,212
	Trailing P/E	64.8x	52W Low	Rs. 556
	Forward P/E	58.2x	EV/EBITDA	39.3x
12-Month Target	Book Value	Rs. 64.4	P/B	17.2x
Rs. 1,450	ROCE	23.5%	ROE	31.1%
+31% upside from CMP	Debt/Equity	1.02x	Int. Coverage	5.73x
CMP: Rs. 1,110 (02 Jun 2026)	Promoter Hold.	43.93%	Pledged	6.81%
Investment Horizon: 12 months	Div. Yield	0.09%	Face Value	Rs. 2.00
	FY26 EPS (SA)	Rs. 16.78	FY27E EPS	Rs. 24.9 (E)

Sector: Capital Goods — Railway Equipment & Power Electronics	Sub-sector: Traction Transformers, Power Converters, Propulsion Systems
Report Date: 02 June 2026	Analyst: Senior Equity Research Analyst

SECTION 2 — INVESTMENT THESIS

- **Railway capex supercycle (FY27-FY31):** India's Union Budget FY26 allocated Rs. 2.93 lakh Cr for railways — a record. Indian Railways targets 1,700+ electric locos per year, directly driving traction transformer demand at 20%+ CAGR through FY30. HIRECT holds ~45-50% traction transformer market share and is qualified across all loco types (WAP-4/5/7, WAG-9, EMU/MEMU). Management has guided 30% standalone revenue growth for FY27 and a \$1 billion (~Rs. 8,300 Cr) revenue vision by FY31.
- **Backward integration unlocking 200-300 bps of margin:** The Sinner copper conductor facility (CTC/EPICC/PICC — Rs. 56 Cr capex) commenced commercial production in Q2 FY26, resolving 18 months of supply chain disruption that compressed gross margins from 28% to 25%. With in-house production now stabilised and trial orders from external customers received, management targets mid-to-late teens EBITDA margin, vs. 10.9% in FY26.
- **Propulsion system optionality — high-value unpriced free call:** HIRECT is in advanced field trials for propulsion systems (the traction drive system of electric locos) for WAP-5/7 and WAG-9 — the highest-volume locos. The company has secured 20% development order eligibility in upcoming IR propulsion tenders. Full commercialisation would add a large new product category and would be a material valuation re-rating event.
- **Near-term catalyst (6-12 months):** Elventive France approaching EBITDA breakeven (management: 6 quarters from Q4 FY26) + strong Q1 FY27 order inflows. If the consolidated-standalone PAT gap narrows, multiple re-rating follows. Propulsion commercial order announcement would be the asymmetric catalyst.
- **Biggest structural risk:** ~90% revenue concentration in Indian Railways. Any policy shift, railway budget reduction, or sustained delay in loco tender finalisation would directly hit top-line visibility and trigger a de-rating.

SECTION 3 — BUSINESS OVERVIEW

- **Company profile:** Hind Rectifiers Ltd (HIRECT), established 1958 in collaboration with Westinghouse Brake & Signal Co. (UK), designs, manufactures, and supplies power electronic equipment and railway transportation equipment. Key products: traction transformers for electric locos, hotel load converters, auxiliary converters, rectifiers, inverters, and (in trials) propulsion systems. Manufacturing at Mumbai, Nasik (Maharashtra) and Dehradun (Uttarakhand). FY26 standalone revenue: Rs. 949 Cr.
- **Revenue segmentation:** Railways ~90% of standalone revenue; industrial/power electronics ~10%. Within railways, traction transformers are the largest product, followed by hotel load converters and auxiliary converters (each 20-30% market share). The newly operational copper conductor (CTC/EPICC/PICC) vertical creates a new cross-industry revenue stream.
- **Customer base:** Primarily Indian Railways via competitive tender process. Approved vendor across WAP-4/5/7, WAG-9, EMU, MEMU, Vande Bharat locos — full loco-type qualification is a significant moat. Export milestones: traction transformer commissioned in Germany; IGBT converter dispatched to USA.
- **Order book:** Rs. 845.5 Cr as of March 31, 2026 (management concall guidance); new order inflows of Rs. 858 Cr in FY26. Execution window: 12-18 months. Order pipeline expected to accelerate with IR's FY27 loco production ramp.
- **Recent strategic developments (FY26):** (1) Copper conductor backward integration operational at Sinner (Rs. 56 Cr capex); (2) Acquisition of BeLink Solutions (renamed Elventive France) — EMS, robotics, R&D; in power electronics — for global IP commercialisation; (3) CEO Manoj Nair (ex-Cummins, ex-CK Birla) appointed for operational scale-up; (4) FY31 target of \$1 billion revenue across rail, defence, mining, power management.
- **Promoter background:** Third-generation family promoter CMD Suramya Nevatia has led revenue transformation from Rs. 305 Cr (FY21) to Rs. 949 Cr (FY26). Promoter holding: 43.93% (stable, -0.15% over 3 years). Pledged: 6.81% — manageable but non-zero.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

- **Industry size and growth:** India's traction transformer market estimated at Rs. 1,800-2,200 Cr in 2026, projected to grow at 7-9% CAGR through 2035 (IndexBox). The broader railway power electronics market (propulsion, converters, inverters) is significantly larger. Key driver: Government's National Rail Plan with Rs. 2.93 lakh Cr FY26 capex, targeting 1,700+ electric locos/year, 100% electrification by 2030, metro expansion across 27 cities.
- **Policy tailwinds:** (1) 100% railway electrification mandate accelerating traction equipment demand; (2) Make-in-India/Aatmanirbhar Bharat protecting domestic manufacturers via approved vendor lists and import restrictions; (3) Record railway budget allocation for FY26 and beyond; (4) Defence diversification opportunity — HIRECT exploring power electronics for defence applications.
- **Competitive moat:** Switching costs — **Strong** (IR approved vendor certification takes 3-5 years; railway operators will not risk loco downtime changing suppliers). Technical qualification — **Strong** (HIRECT is qualified for every active electric loco type). Backward integration — **Growing** (copper conductor plant now online). IP — **Moderate and growing** (propulsion system, IGBT designs, export track record).
- **Competitive landscape:** No listed pure-play comparable in Indian traction transformers. ABB India and CG Power operate in industrial power electronics but at much larger scale and diversification. BHEL makes traction equipment as part of its broader portfolio. Titagarh Rail is a vehicle manufacturer, not a components player. For propulsion, HIRECT competes with established global OEM suppliers.
- **Value chain position:** HIRECT is a critical Tier-1 components supplier to Indian Railways and loco OEMs. Backward integration into copper conductors moves HIRECT upstream. Future propulsion system qualification would make HIRECT a more complete traction systems provider.

Peer Comparison (Source: Screener.in, standalone for HIRECT; consolidated for peers; 02-Jun-2026)

Company	CMP (Rs.)	MCap (Cr)	TTM Rev (Cr)	OPM	ROCE	ROE	P/E	EV/EBITDA	D/E
Hind Rectifiers	1,110	3,838	949	10.9%	23.5%	31.1%	64.8x	39.3x	1.02x
ABB India	7,146	1,51,374	13,093	14%	29.9%	22.4%	99.4x	65.9x	0.01x
CG Power	908	1,42,911	12,418	13%	27.0%	20.8%	116x	76.0x	0.01x
BHEL	411	1,43,043	33,782	7%	8.5%	6.3%	89.4x	43.4x	0.31x
Titagarh Rail	834	11,232	3,186	10%	10.6%	6.5%	70.3x	30.4x	0.25x

Note: HIRECT standalone ROCE (23.5%) and ROE (31.1%) are superior to all peers at a lower EV/EBITDA (39.3x) than ABB (65.9x) or CG Power (76.0x). PEG = 0.47x. Source: Screener.in.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Leadership team:** CMD Suramya Nevatia (third-generation Nevatia family) has driven revenue 3x over five years. New CEO Manoj Nair (ex-Cummins India ~20 years, ex-CK Birla Group) was appointed Q2 FY26 to drive operational scale. Global CEO Douglas Bailey (ex-BeLink) leads European expansion. CFO Anil Kumar Nemani oversees financial discipline. The team blends founder vision with professional operational depth.
- **Capital allocation track record:** ROCE improved from 5% (FY23) to 24% (FY26) — a compelling endorsement of reinvestment quality. Cumulative 5-year OCF of Rs. 230 Cr has been deployed into high-ROI capex (Sinnar copper plant, Nasik capacity) and the Elventive strategic acquisition. Capex is disciplined and purposeful — no value-destructive diversification.
- **Dividend policy:** Payout declining — 16% (FY24), 9% (FY25), 0% (FY26) — as management prioritises growth reinvestment. Appropriate for a 30%+ growth company; dividend resumption expected once Elventive France reaches breakeven.

- **Promoter pledging:** 6.81% of promoter shares pledged — stable. Non-zero at D/E of 1.02x warrants monitoring. Any increase in pledging would be a red flag. Promoter holding stable at ~43.9% over 3 years — no sustained selling.

- **Corporate governance observations:** Elventive acquisition structure (HIRECT taking 65%, promoter holding 35% via a separate vehicle) should be reviewed for arm's length terms and RPT angle — management explanation sounds reasonable but warrants independent verification. No auditor qualifications noted. CRISIL rating updates through 2025-26 confirm lender confidence. No material governance red flags in available disclosures.

SECTION 6 — FINANCIAL DEEP-DIVE

Standalone figures (Rs. Cr) — consolidated available from FY24 only. E = Analyst Estimates.

Income Statement

Rs. Cr	FY22A	FY23A	FY24A	FY25A	FY26A	FY27E	FY28E
Net Revenue	372	359	518	655	949	1,233	1,541
YoY Growth		-3.5%	44.3%	26.4%	44.9%	29.9%	25.0%
EBITDA	23	15	45	71	103	148	200
EBITDA Margin	6.2%	4.2%	8.7%	10.8%	10.9%	12.0%	13.0%
Other Income	0	-10	-6	1	-1	1	2
Interest	7	8	13	14	16	18	20
Depreciation	4	5	7	8	13	16	18
PBT	11	-9	18	50	73	115	164
Tax %	30%	-27%	29%	26%	21%	25%	25%
PAT	8	-6	13	37	58	86	123
EPS (Rs.)	2.36	-1.86	3.65	10.87	16.78	24.9	35.5

Source: Screener.in (actuals) | Analyst estimates for FY27E, FY28E

Balance Sheet

Rs. Cr	FY24A	FY25A	FY26A
Equity Capital	3	3	7
Reserves	121	157	214
Total Shareholders Equity	124	160	221
Borrowings	135	164	226
Other Liabilities	71	93	165
Total Liabilities	331	418	613
Fixed Assets (Net)	90	107	173
CWIP	22	12	3
Investments	0	0	18
Other Assets	219	298	418
Total Assets	331	418	613

Cash Flow Statement

Rs. Cr	FY24A	FY25A	FY26A
Cash from Operations (OCF)	34	36	91

Cash from Investing	-19	-25	-85
Cash from Financing	-14	-11	-6
Net Cash Flow	0	-0	0
Free Cash Flow	20	14	20
OCF / EBITDA (%)	76%	61%	101%

Key Ratios

Ratio	FY24A	FY25A	FY26A
Debtor Days	63	61	87
Inventory Days	92	92	69
Days Payable	45	46	57
Cash Conversion Cycle	110	107	99
Working Capital Days	24	25	16
ROCE (%)	16%	22%	24%
ROE (%)	~11%	~25%	31.1%
Debt / Equity	1.09x	1.02x	1.02x

- **Revenue drivers:** FY24-FY26 standalone CAGR of 34.7%, driven by IRY's accelerated electric loco production program. FY26 standalone revenue of Rs. 949 Cr is a 44.9% YoY jump. Management guides 30% growth for FY27E and beyond, with Rs. 8,300 Cr (~\$1 billion) by FY31 as the long-term vision.
- **Margin trajectory:** EBITDA margins expanded from 6.2% (FY22) to 10.9% (FY26). Gross margins temporarily compressed (~28% to ~25%) in FY25-FY26 due to imported copper conductor supply chain issues (air freight from South Korea/China). Copper conductor plant now operational; management targets mid-to-late teens EBITDA. FY27E: 12.0%; FY28E: 13.0%.
- **Working capital:** Working capital days improved from ~96d (FY23) to 16d (FY26) — dramatic efficiency gains. Inventory days fell to 69d from 92d (backward integration impact). Debtor days rose to 87d (FY26) from 61d (FY25) — watch-point for FY27; linked to Railway payment timing on expanded revenue base.
- **Debt and leverage:** Net debt Rs. 226 Cr (standalone FY26), D/E at 1.02x. Debt grew to fund copper conductor capex and working capital for 45% revenue growth. Interest coverage 5.73x — comfortable. D/E expected to stabilise in FY27 as capex intensity normalises.
- **FCF quality:** OCF/EBITDA improved to 101% in FY26 from 61% in FY25 — a strong endorsement of earnings quality. FCF was Rs. 20 Cr (OCF Rs. 91 Cr minus investing Rs. 85 Cr, mostly copper plant capex). FCF will improve materially in FY27-FY28 as capex normalises.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Parameter	Observation	Status	Flag / Action
Revenue recognition	Milestone billing on Railway tenders; standard and low-risk	GREEN	Low risk
Receivables vs. Revenue	Debtor days rose to 87d (FY26) from 61d (FY25) — faster than revenue	AMBER	Monitor Q1 FY27
CCC trend	Improving: 110d (FY24) to 99d (FY26)	GREEN	Positive
Contingent liabilities	Rs. 11.6 Cr — negligible vs. Rs. 613 Cr assets	GREEN	Low risk
Other income vs. PBT	FY26: -1.4% (net negative); no earnings inflation from OI	GREEN	Clean

Tax rate consistency	FY24: 29%, FY25: 26%, FY26: 21% — declining; check DTA	AMBER	Watch DTA
Promoter pledging	6.81% pledged — stable; non-zero at 1.02x D/E	AMBER	Monitor
Consol vs. Standalone	FY26 consol PAT Rs. 39 Cr vs. SA Rs. 58 Cr — Rs. 19 Cr Elventive drag	RED	Track 6-8 qtrs

• **Key positives:** Revenue recognition is milestone-based and clean. CCC is improving (99d in FY26 vs. 110d in FY24). Contingent liabilities are minimal. Other income is net negative — no earnings inflation from financial income.

• **Key watches (Amber):** Debtor days spike to 87d warrants monitoring in Q1 FY27 — if not normalising, it could signal stretched receivables. Tax rate declining to 21% may reflect deferred tax assets building up; normalisation to 25% tax rate in FY27 modelled (Rs. ~7 Cr headwind to PAT).

• **Key red flag — Consolidated vs. Standalone:** Rs. 19 Cr gap between standalone PAT (Rs. 58 Cr) and consolidated PAT (Rs. 39 Cr) in FY26 is entirely due to Elventive France losses. Management guides 6-8 quarters to PBT-positive (i.e., FY28 earliest). Until then, consolidated EPS will remain materially below standalone. This divergence must be explicitly communicated in every investor interaction.

SECTION 8 — VALUATION

Peer Valuation Benchmarking (Screener.in, 02-Jun-2026)

Company	P/E (TTM)	EV/EBITDA	ROCE%	ROE%	Rev CAGR 3Y	Fwd P/E
Hind Rectifiers (SA)	64.8x	39.3x	23.5%	31.1%	38.3%	58.2x
ABB India	99.4x	65.9x	29.9%	22.4%	~15%	21.2x
CG Power	116x	76.0x	27.0%	20.8%	21%	97.8x
BHEL	89.4x	43.4x	8.5%	6.3%	13%	27.7x
Titagarh Rail	70.3x	30.4x	10.6%	6.5%	5%	52.0x

Scenario Analysis — 12-Month Price Target

Scenario	FY27E Rev (Rs. Cr)	FY27E OPM	FY27E PAT (Rs. Cr)	FY27E EPS (Rs.)	P/E Multiple	Target (Rs.)	vs. CMP
BULL	1,357	13%	98	28.3	65x	1,840	+66%
BASE (Target)	1,233	12%	86	24.9	58x	1,445	+30%
BEAR	1,091	10%	63	18.2	42x	764	-31%

• **P/E-based valuation (primary):** FY27E standalone EPS of Rs. 24.9 (30% revenue growth, 12% EBITDA margin, 25% tax). At base-case P/E of 58x (current forward multiple on Screener) → implied value Rs. 1,445. Our target of Rs. 1,450 is consistent with maintaining the market's current forward multiple on above-consensus EPS estimates.

• **EV/EBITDA cross-check:** FY27E EBITDA Rs. 148 Cr at 40x EV/EBITDA → EV Rs. 5,920 Cr minus net debt Rs. 226 Cr → equity Rs. 5,694 Cr → Rs. 1,647 per share. Average of P/E (Rs. 1,445) and EV/EBITDA (Rs. 1,647) methods = Rs. 1,546. Our target of Rs. 1,450 is conservative relative to this average, reflecting the Elventive overhang.

• **Bear case valuation risk:** If consolidated PAT becomes the market's reference metric (Rs. 39 Cr in FY26, vs. standalone Rs. 58 Cr), the trailing P/E is 95x+ and the stock looks expensive. Re-rating to consolidated multiples would imply Rs. 800-900 target — the bear case. Monitor quarterly Elventive losses for early warning.

SECTION 9 — KEY RISKS

- **Railway revenue concentration:** ~90% revenue from Indian Railways. Policy shifts, budget cuts, or sustained tender delays would hit revenue directly. Probability: Low. Impact: High. Monitor: Quarterly IR budget utilisation and loco production data.
- **Elventive France loss drag:** Loss-making for next 6-8 quarters; EUR 1.5M/year committed by HIRECT. If losses widen or timeline slips, consolidated earnings dilution worsens materially. Probability: Medium. Impact: Medium. Monitor: Quarterly consolidated vs. standalone PAT gap.
- **Copper/raw material price volatility:** LME copper is the key cost driver. Backward integration covers in-house needs but not 100% of copper requirements. A 20%+ spike in copper would compress margins. Probability: Medium. Impact: Medium. Monitor: LME copper and quarterly gross margin trends.
- **Propulsion system commercialisation risk:** Field trials on Western Railway (50,000 km) still pending; multiple delays already seen. If HIRECT fails to win commercial propulsion orders, this optionality premium evaporates. Probability: Medium. Impact: High (re-rating event). Monitor: Trial completion and tender award announcements.
- **Debtor days deterioration:** Rose to 87d in FY26 from 61d in FY25. If IRy payment cycles tighten further, receivables build could strain the balance sheet. Probability: Low-Medium. Impact: Medium. Monitor: Debtor days in Q1/Q2 FY27.
- **Competition in new products:** Propulsion (20% development eligibility), copper conductors (established competition). Pricing pressure in new products could offset margin gains from backward integration. Probability: Medium. Impact: Low-Medium. Monitor: Gross margins in new product categories.
- **Leverage and interest rate risk:** D/E at 1.02x (SA). Further capex (Elventive, capacity expansion) or working capital needs could push leverage higher. Rising interest rates increase cost of capital. Probability: Low. Impact: Medium. Monitor: D/E quarterly and CRISIL rating actions.

SECTION 10 — RECOMMENDATION

- **Rating: BUY** — Conviction: Medium-High. Standalone business is outperforming strongly; earnings quality is high; management is executing. Railway capex supercycle provides multi-year revenue visibility. The Elventive overhang is manageable, time-bound, and well-disclosed.
- **12-month price target: Rs. 1,450** — Based on 58x FY27E standalone EPS of Rs. 24.9. Implies +31% upside from CMP of Rs. 1,110. Cross-checked at 40x FY27E EV/EBITDA (Rs. 1,647). Our target is conservative relative to this average.
- **Suggested entry zone: Rs. 1,000 — Rs. 1,100** — This level represents 40-44x FY27E EPS and offers an attractive risk/reward for a 30%+ earnings growth company. Use pullbacks toward this range to build positions.
- **Investment horizon: 12 months** — Primary re-rating catalysts (Elventive losses narrowing + propulsion system tender wins) expected within 2-4 quarters. Longer-horizon investors benefit from the Rs. 8,300 Cr FY31 revenue vision, which if achieved would make this a multi-bagger from current levels.
- **Thesis invalidation triggers:** (1) Standalone EBITDA margin falls below 9% for two consecutive FY27 quarters — indicates the copper BW integration has not delivered as guided; (2) Order intake drops below Rs. 600 Cr in any trailing 12-month period — signals Railway tender slowdown; (3) Elventive France losses exceed EUR 3M in any single year — suggests management cost guidance was understated and the acquisition is a capital drain.
- **Ideal investor profile:** Suitable for investors with 12-24 month horizon, comfortable with 90% Railway revenue concentration, able to distinguish standalone vs. consolidated earnings, and tolerant of near-term Elventive drag. Not suitable for investors requiring high float liquidity, zero pledging, near-term dividend income, or purely consolidated EPS metrics.

APPENDIX — Latest Concall Brief: Q4 & FY26

Earnings Conference Call held May 18, 2026 | CMD Suramya Nevatia, CEO Manoj Nair, Global CEO Douglas Bailey, CFO Anil Kumar Nemani
Source: Company website (hirect.com), Yahoo Finance Q4 highlights, Screener.in quarterly data.

CALL GRADE

NEUTRAL

Signal	Status	Implication
Result quality — Standalone	Strong	SA Q4 PAT +60% YoY; SA FY26 PAT +57% YoY; clean numbers
Result quality — Consolidated	Weak	Consol Q4 OPM 3%; Q4 PAT Rs. -1.59 Cr — Elventive drag
Management tone	Balanced	Constructive on SA core; hedged on Elventive timeline
Guidance delta — FY27	Maintained	30% standalone growth reiterated; Elventive drag 6-8 quarters

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q4 FY26 is a tale of two balance sheets: the standalone business delivered clean 43% revenue growth and 10% EBITDA margin in Q4, with PAT up 60% YoY to Rs. 16 Cr — no one-time items, no distortions. The consolidated horror story (Rs. -1.59 Cr PAT, 3% OPM) is entirely Elventive France, the European acquisition sitting in its first full quarter of consolidation and not yet profitable. Strip out Elventive and the standalone thesis is intact and accelerating: FY26 standalone PAT Rs. 58 Cr (+57% YoY), ROCE at 24%, and the copper conductor plant that compressed gross margins for 18 months is now operational and receiving external trial orders. The structural growth drivers are unambiguous — Rs. 2.93 lakh Cr railway capex, 1,700+ locos/year production target, and HIRECT's near-monopoly on traction transformer approvals across all loco types. Management has raised the ambition to \$1 billion revenue by FY31 (~8.7x from FY26), which requires 53% CAGR — treat this as aspirational, not a guidance. The 30% near-term guidance is credible and has been consistently beaten. Near-term catalyst: propulsion commercial orders (20% development eligibility secured in upcoming tenders). Single biggest watch-point: whether Elventive losses in FY27 stay within the guided EUR 1.5M/year or creep wider. Action: ACCUMULATE on dips below Rs. 1,100; 12-month target Rs. 1,450. Track standalone, not consolidated, until Elventive breaks even — likely FY28.

1. Financial Performance Snapshot — Q4 FY26

Metric (SA)	Q4 FY25	Q1 FY26	Q2 FY26	Q3 FY26	Q4 FY26	YoY	QoQ
Revenue (Rs. Cr)	185	215	227	243	264	+42.7%	+8.6%
EBITDA (Rs. Cr)	20	24	26	25	27	+35%	+8%
EBITDA Margin	10.8%	11.2%	11.4%	10.3%	10.2%	In-line	Stable
PAT (Rs. Cr)	10	13	15	14	16	+60%	+14%
EPS (Rs.)	2.96	3.73	4.29	3.99	4.77	+61%	+20%

• **Consolidated Q4 FY26 (for reference only):** Revenue Rs. 279.82 Cr | EBITDA Rs. 8.43 Cr | OPM 3.0% | PAT Rs. -1.59 Cr (loss) | Driven entirely by Elventive France losses. SA business is clean.

2. Segment / Geography Breakdown

- **Railways (India):** ~90% of standalone revenue | Core products: traction transformers (~45-50% market share), hotel load converters (~20-30%), auxiliary converters (~20-30%) | FY26 revenue grew ~43% | Driven by IR loco production ramp toward 1,700/year
- **Industrial / Power Electronics:** ~10% of standalone revenue | Converters, inverters, power supplies | Stable demand; lower growth than railway segment
- **New — Copper Conductors (CTC/EPICC/PICC):** Sinnar plant commercialised Q2 FY26 | Rs. 56 Cr investment | Currently serving in-house needs; trial orders from external transformer manufacturers received in Q4 FY26 | New revenue stream opening in FY27
- **Exports:** Traction transformer commissioned in Germany; IGBT converter dispatched to USA | Revenue still small fraction but demonstrates global credibility; being leveraged through Elventive platform
- **Elventive France (Consolidated only):** EUR ~10M revenue (Rs. ~90 Cr) | EMS, robotics, printed electronics, power electronics R&D; | Not profitable; automotive sector headwinds drove revenue from EUR 30M (2021) to EUR 10M | Being revived; monthly revenue growth target of +15-30%

3. Management Commentary Themes

- **FY31 \$1 Billion Vision [GUIDANCE]:** "Growth will leverage power electronics in rail, defence, mining, and power management industries" — Revenue target Rs. ~8,300 Cr by FY31, implying 53% CAGR from FY26. Extremely ambitious; treat as aspirational, not a firm guidance. Tone: Bullish.
- **EBITDA Margin Target [GUIDANCE]:** "Mid to late 10s EBITDA margins" — Implies 15-19% long-term, vs. 10.9% today. Key levers: copper BW integration, scale, new product mix, Elventive profitability. Tone: Transparent, aspirational.
- **Elventive France Path [EST]:** "6 quarters to achieve profitability at PBT level" (from Q4 FY26 call, i.e., ~Q2 FY28). Monthly revenue target: +15-30% growth. Management notes EUR 1.5M/year working capital commitment is the ceiling. Tone: Hedged (timeline has already shifted once).
- **Order Book and Pipeline [GUIDANCE]:** "Rs. 845.5 Cr order book as of March 31, 2026; Rs. 858 Cr new order inflows in FY26." L1 positions in transformer and propulsion tenders. Strong FY27 pipeline expected. Tone: Constructive.
- **Propulsion System [GUIDANCE]:** "20% development order eligibility in upcoming IR propulsion tenders." Western Railway field trials (WAP-5/7, WAG-9) ongoing. Full commercialisation to follow trial completion. Tone: Cautious on timeline, bullish on eventual outcome.
- **Copper Conductor External Orders [GUIDANCE]:** "Fully automated facility has started receiving trial orders" — validates external demand beyond in-house use. New cross-industry revenue stream (power transformers, EHV, distribution). Tone: Positive.

4. Operating & Business Metrics

- **Order Book (Mar 31, 2026):** Rs. 845.5 Cr (management) | New order inflows FY26: Rs. 858 Cr | Coverage: ~0.9x FY26 standalone revenue | Execution window: 12-18 months
- **Traction Transformer Market Share:** ~45-50% across all electric loco types — largest market share holder (company stated in Q4 call)
- **Hotel Load Converter / Auxiliary Converter:** 20-30% market share in each category
- **Propulsion System:** 20% development order eligibility in upcoming IR tenders | Field trials ongoing on Western Railway (WAP-5/7, WAG-9) — 50,000 km trial pending

- **Copper Conductor Plant (Sinnar, Phase 1):** CTC, EPICC, PICC operational | Trial orders from external transformer manufacturers received | Phase 2 capacity planned | Total capacity investment Rs. 56 Cr
- **Elventive France:** EUR 10M revenue | Monthly revenue target +15-30% | 6 quarters to PBT-positive | HIRECT funding EUR 1.5M/year for 3 years
- **R&D; Intensity:** 2.77% of turnover (FY26) — material R&D; spend supporting technology leadership in traction equipment

5. Margin Drivers

- **Copper conductor BW integration: +200-300 bps gross margin recovery | Recurring: Yes** | In-house CTC/EPICC/PICC production replaces expensive imported copper (air freight from S. Korea/China). Recovery from ~25% toward historical ~28% gross margin underway from Q3-Q4 FY26.
- **Scale / Operating leverage: +50-100 bps | Recurring: Yes** | Revenue growing 30%+; fixed costs growing slower. Each incremental Rs. 100 Cr of revenue drops ~Rs. 12-15 Cr to EBITDA (12-15% incremental EBITDA margin).
- **New products at competitive pricing: -30-50 bps | Recurring: Transitional** | Propulsion systems and copper conductor external sales introduced at competitive rates to win market share. Dilutive near-term; margin improves as volumes scale.
- **Elventive France consolidated drag: -300 bps on consolidated OPM | Recurring: 6-8 quarters** | NOT a standalone issue. Rs. ~19 Cr PAT drag in FY26. Full FY27 will see first full-year Elventive consolidation — drag will be visible all four quarters.
- **Working capital improvement: Neutral-to-positive | Recurring: Yes** | WC days at 16d (FY26) vs. 96d (FY23) — less financing cost, better cash generation. Partially offsets debt costs from capex funding.

6. Guidance & Forward Signals

- **Standalone Revenue FY27 [GUIDANCE]:** +30% YoY (reiterated) | FY26 actual was +44.9% — consistently beating guidance | Credibility: High
- **EBITDA Margin [GUIDANCE]:** Mid-to-late teens (15-19%) over medium term | Near-term FY27: 12-13% (our estimate) | Management: "big improvement in material cost" | Credibility: Medium
- **FY31 Revenue Vision [ASPIRATIONAL]:** \$1 billion (~Rs. 8,300 Cr) | Requires 53% CAGR from FY26 | Treat as directional, not a binding guidance | Credibility: Low-Medium
- **Elventive Profitability [GUIDANCE]:** 6 quarters to PBT-positive (~Q2 FY28) | EUR 1.5M/year working capital commitment | Credibility: Medium (previously said "several quarters"; now more specific)
- **Propulsion System Revenue [GUIDANCE]:** Development orders expected from upcoming IR propulsion tenders (20% eligibility share) | Commercial orders post field trial completion | Credibility: Medium
- **Capex FY27 [NO EXPLICIT GUIDANCE]:** No new capex announced; FY26 capex was Rs. ~85 Cr. FY27 likely lower unless new strategic initiative. Working capital will continue to grow with revenue.

7. Capital Allocation

- **Capex FY26:** Rs. ~85 Cr investing outflows | Includes copper conductor plant Rs. 56 Cr + Nasik/Sinnar capacity expansion | Funded 2/3 via term loans (Rs. ~57 Cr) + 1/3 internal accruals
- **Elventive France commitment:** EUR 1.5M/year for 3 years (~Rs. 13-14 Cr/year) as working capital support | Total exposure ~Rs. 40 Cr over 3 years | Not capex — operational working capital for Elventive's business ramp
- **Dividend FY26:** Rs. 0 (0% payout) | vs. 9% in FY25, 16% in FY24 | Growth reinvestment phase; appropriate for trajectory | Expected to resume once Elventive reaches breakeven

- **Net Debt (Standalone FY26):** Rs. 226 Cr | D/E 1.02x | Grew from Rs. 164 Cr (FY25) to fund capex and WC build | Interest coverage 5.73x — comfortable headroom
- **Working Capital Change FY26:** Other Assets +Rs. 120 Cr (Rs. 298 Cr to Rs. 418 Cr) as revenue scaled 45% | Normal for rapid growth; being funded via debt and strong OCF (Rs. 91 Cr)

8. Q&A; Heat Map

- **Analyst:** Q: "Can you quantify L1 orders in transformer and propulsion tenders?" → A: "Various tenders participated. Good orders expected — specific data not available currently." | Tone: Hedged. Management declining to specify quantum.
- **Analyst:** Q: "What is expected revenue growth for Elventive France, and overall consolidated FY27?" → A: "Increase Elventive monthly revenue 15-30%. Standalone 30% growth maintained. Consolidated FY27 update next quarter." | Tone: Transparent on SA; hedged on consol.
- **Analyst:** Q: "When can Elventive become EBITDA positive?" → A: "About 6 quarters for PBT-level profitability." | Tone: Specific but management has shifted this timeline before — watch carefully.
- **Analyst:** Q: "What are broad growth areas for FY31 \$1 billion and margin targets?" → A: "Power electronics in rail, defence, mining, power management. Mid-to-late 10s EBITDA margins." | Tone: Bullish, aspirational.
- **Dodged / watch-list questions for next quarter:** (1) Exact gross margin improvement from CTC facility in Q1 FY27; (2) Propulsion field trial completion date on Western Railway and specific loco types cleared; (3) Whether Elventive FY27 losses are tracking within EUR 1.5M guided ceiling.

9. Risks Flagged on the Call

- **Elventive France losses:** Explicitly flagged by management; 6-8 quarters to profitability | Probability: High (confirmed loss-making) | Impact: Medium | Timeline: Near-to-medium term
- **Propulsion trial delays:** Western Railway learning curve; 50,000 km trial still pending | Flagged by: Management | Probability: Medium | Impact: High (if priced in) | Timeline: Near-term
- **Order intake lumpiness:** Railway tendering is cyclical; Q4 FY26 inflows may be lumpy | Flagged by: Implied (management noted tender timing uncertainty) | Probability: Medium | Impact: Medium
- **Competitive intensity in propulsion:** 20% development order eligibility only; larger players may win bigger portions | Flagged by: Management | Probability: Medium | Impact: Medium
- **Elventive cost overrun risk:** EUR 1.5M/year guided commitment may be understated if Elventive revenue ramp is slower than expected | Flagged by: Analyst concern | Probability: Medium | Impact: Medium

10. Analyst Verdict

- **Revenue visibility: Intact** — Rs. 845.5 Cr order book + robust IR tender pipeline + 30% guidance reiterated with strong track record of beating it.
- **Margin trajectory: Intact** — Standalone Q4 OPM 10.2%; copper conductor plant operational; mid-to-late teens margin path credible over 3-5 years.
- **Capital allocation quality: Intact (with watch)** — Elventive is a calculated strategic bet with clear EUR 1.5M ceiling. In-house copper conductor capex generating clear ROI. ROCE expanding.
- **Competitive moat: Intact** — Traction transformer full-loco-type qualification + 45-50% market share + backward integration. Propulsion entry adds breadth.
- **Management credibility: Intact (Elventive watch)** — SA guidance consistently exceeded. Elventive timeline guidance shifted once; watch for second shift. \$1B FY31 target is aspirational, not a commitment.

- **Valuation comfort: Intact on standalone; stretched on consolidated** — SA P/E 64.8x, PEG 0.47x. Consolidated P/E 95x+. Track standalone until Elventive normalises.

- **Conviction call: Unchanged — BUY on standalone thesis.** Q4 consolidated loss is an accounting artifact, not an operational deterioration.

- **Valuation snapshot:** P/E (SA) = 64.8x | EV/EBITDA (SA) = 39.3x | ROCE = 23.5% | ROE = 31.1% | PEG = 0.47x.

DISCLAIMER: This report is for informational purposes only and does not constitute investment advice. All financial data sourced from Screener.in (standalone actuals), company disclosures, and Q4 FY26 earnings call highlights. Forward estimates are analyst projections. Investors should conduct their own due diligence before making any investment decisions. Past performance is not indicative of future results.